

THE BOTTOMLINE SERIES:
PART TWO

MAPPING A BILLION

Understanding The Indian
Fintech User





INTRODUCING “MAPPING A BILLION” FROM THE BOTTOMLINE SERIES

In the first part of Bottomline, we brought to life the perfect storm that has brought fintechs in India to an inflection point. We had projected the fintech ecosystem to create \$400bn in value by FY30 and had identified ten key themes that will unlock value over the coming decade. “Mapping a Billion” is a deep-dive into four of those themes.

India is a large country with 1bn+ addressable fintech users – these are heterogeneous users with nuanced needs and contexts. Serving a segment successfully needs an understanding of where they are in their adoption curve and building toward their specific pain points. Through this report, we map the unique context, identify underserved areas and outline opportunities for fintechs to create value across different segments.

The 4 themes we dwell deeper into are:

- **The Rise of Vertical Specialists:** As India’s financial services market deepens, fintechs are increasingly building with customers at the center, moving from a product-led approach to a segment-led focus.
- **The Power Law:** India’s top 1% drives disproportionate spends and investments – fintechs are seeing success by building delightful experiences catered to their nuanced needs, and democratizing access to products reserved for the ultra-rich
- **Unlocking India’s ‘Protection and Wealth’ Gap:** Wealthtechs and insurtechs will solve for product simplicity, affordability and personalization to drive penetration, especially in India’s missing middle.

- **Driving Access to Credit for the Next 200mn Indians:** >200mn lendable Indians remain underserved – several shifts in consumer behavior and technology now make it feasible for fintechs to serve them profitably, and at scale

As with all reports in The Bottomline series, this report captures Elevation’s deep thesis on the fintech sector, insights from a comprehensive survey of 70+ industry experts and in-depth conversations with ~30 industry leaders from prominent fintechs and financial services players. In addition, our knowledge partner McKinsey & Company provided the analytical fact base for the report, leveraging their knowledge of the Indian financial ecosystem.

Please reach out to us for deeper discussions or if you are building in any of the themes we outline in this report.

Regards,

Fintech Team @ Elevation Capital

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IN PART 1 OF THE BOTTOMLINE WE INTRODUCED 10 KEY THEMES THAT WILL SHAPE THE FUTURE OF FINTECH VALUE CREATION

Focus of this report

Underserved end users...

1



Rise of vertical specialists: from product-led to segment-led

2



The power law: **affluent India** will drive significant value creation

3



Driving access to credit for the next 200mn Indians

4



Unlocking **India's 'protection and wealth' gap**

...served contextually...

5



Embedding contextual financial services in consumer platforms

6



Rise of open networks: unlocking the next wave of embedded finance

7



Mining the hidden value in the **large and rapidly digitizing supply chains**

...by Fintech x BFSI partnerships

8



Fintech SaaS enabling incumbents to deliver next-gen services

9



Collaborate vs. Compete: deep incumbent & attacker partnerships

Catalyzed by Digital Public Infrastructure

10



Digital Public infrastructure (DPI) to continue disrupting all 4Es



MAPPING THE INDIAN FINTECH USERS: DIFFERENT NEEDS AND OPPORTUNITIES ACROSS SEGMENTS

MAPPING A BILLION: Understanding The Indian Fintech User

Annual Income (\$)

> 125,000

HNI+

15,000-25,000

Affluent+
Emerging Affluent

6,250-15,000

Mass Affluent

1,250-6,250

Mass Market

< 1,250

Below Mass Market

Segment Needs

2 Affluent+

- Nuanced needs, strong aspirations, growing discretionary income
- Want superior end to end digital experiences
- Require access to differentiated new products

4 Missing Middle

- Protection & wealth gap
- Need simple, transparent and contextual advisory for wealth
- Require simple, personalized and affordable protection plans

3 Next 200mn

- Want access to low-cost formal credit

Sub-segment specific Opportunities

1 Vertical Specialist Fintechs

Solving segment specific needs, e.g.

Travel Specific Products

International (NRIs) Focused

Cross border SMEs Focused

Teenager Focused

Early Access to Wages/Salary

Education Linked Loans

+ Many others

1. MF investments as % of financial assets;
2. As % population - Life Insurance: 35%; Private Health Insurance: 25%

Source: IRDAI; AMFI

 Detailed themes ahead



10 KEY THEMES WILL SHAPE THE FUTURE OF FINTECH VALUE CREATION

Under-served **end users**...

1  **Rise of vertical specialists:** from product-led to segment-led

2  The power law: **affluent India** will drive significant value creation

3  **Driving access to credit** for the next 200mn Indians

4  Unlocking India's '**protection and wealth**' gap

...served contextually...

5  **Embedding contextual financial services** in consumer platforms

6  **Rise of open networks:** unlocking the next wave of embedded finance

7  Mining the hidden value in the **large and rapidly digitizing supply chains**

...by Fintech X BFSI partnerships

8  **Fintech SaaS** enabling incumbents to deliver next-gen services

9  **Collaborate vs. Compete:** deep incumbent & attacker partnerships

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10  **Digital Public infrastructure (DPI)** to continue disrupting all 4Es

1. RISE OF VERTICAL SPECIALISTS – FROM PRODUCT-LED TO SEGMENT-LED

1A

As India's financial services market deepens, vertical fintech specialists are emerging – **moving from a product-led to segment-led focus** – putting the customer at the center

1B

While incumbents claim to be segment-focused, **3 characteristics of their operating models** leave sufficient headroom for segment-focused fintechs to emerge:

- Broad and generalized segment definition
- Focus on point solutions rather than the entire life cycle
- Sales teams focusing on specific products rather than customer segments

1C

Vertical-focused (segment-led) fintechs **typically build a software or payments++ use case as an initial wedge**, followed by **integrated experiences solving needs** across the life cycle – thereby capturing high wallet share of their target users

1D

4 key shifts enable this – the emergence of niche segments, increasing digital savviness of customers, targeted digital acquisition becoming feasible, and the ability to create cohesive digital-first experiences

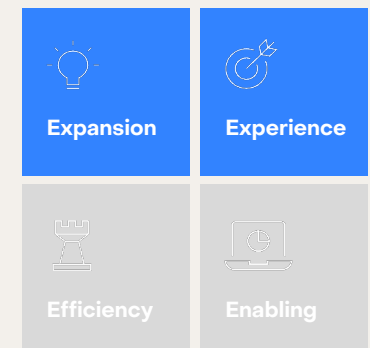
1E

>10 deep verticals exist in India, with a potential **addressable revenue pool of >\$1bn each**

>10 CUSTOMER SEGMENTS

with >\$1bn each in addressable revenue pools

Theme Key Drivers





INDIAN SPECIALIST FINTECHS ARE MOVING FROM BEING PRODUCT-LED TO SEGMENT-LED...



Product-first approach

Solve a **key product gap**

Scale by **expanding to multiple customer segments**

Segment-first approach

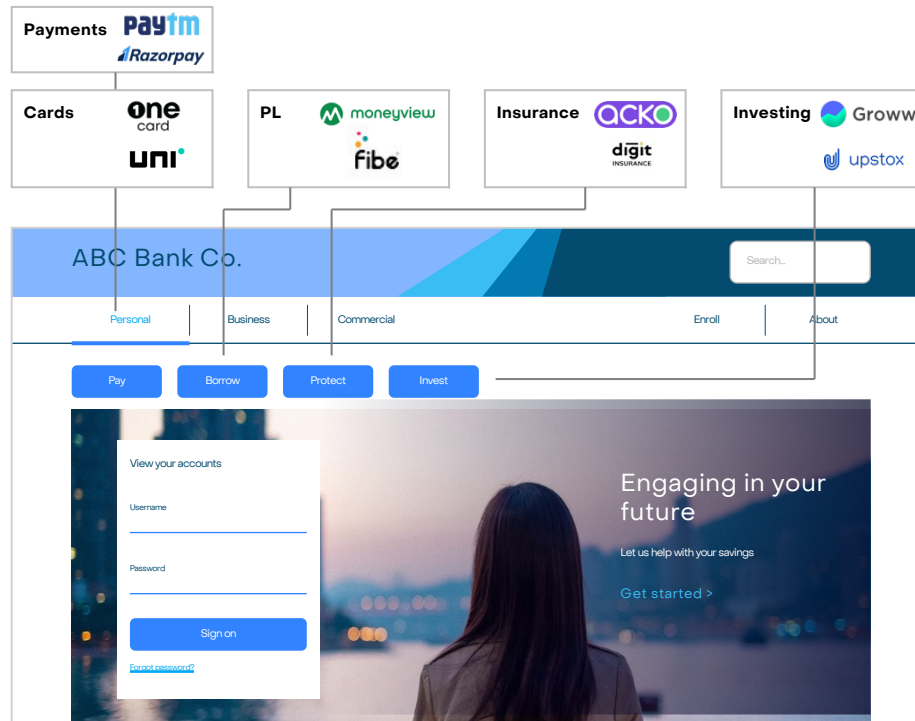
Enter the segment by **solving a unique pain point**

Scale by **cross-selling products and solutions** to same segment and increase wallet share



...AS THE INDUSTRY MOVES THROUGH CYCLES OF BUNDLING AND UN-BUNDLING

WAVE 1: Product at the heart



WAVE 2: Segment at the heart

Illustrative Example





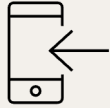
THIS TREND IS BEING ENABLED BY 4 KEY SHIFTS

1



Emergence of **homogeneous, yet sizeable segments** that are **growing in spending power**

2



Digital savviness - rising **digital adoption** by underlying user segments

3



Feasibility of **digitally targeting and acquiring specific user segments** in a cost-effective manner

4



Ability to create **integrated experiences** across the customers' life cycle



SEGMENT-LED VERTICAL FINTECH SPECIALISTS FOCUS ON DEEP AND UNDER-SERVED NICHE AND USE SOFTWARE & PAYMENTS TO BUILD A WEDGE

Traditional broad segment	Underserved niche segment	Potential userbase	Illustrative fintechs	Initial wedge: software & payment++	Potential cross-sell products		
					Credit	Commerce / Ads	Subscriptions
Medium-sized enterprises	 Cross-border SMEs	>500,000 Exporters & Importers		 AR management & international payments acceptance with zero forex markup			
	 Schools	325,000 private schools		 Fee management software & accepting fee payments			
Mass-market customers	 Teenagers¹	200mn teens		 Prepaid spending app & card for teenagers			
	 Blue-collar workers	~450mn workers		 Earned-wage access (salary on demand)			
Affluent	 International students	~1.3mn Intl. students		 Intl. savings account + credit card			
	 Travelers	~16mn travelers		 Credit cards for travellers			

1. Individual with age group 13- 19 years

Source: UNICEF; National Health Mission; MEA; Ministry of Tourism; press research ([ezySchooling](#), [Financial Express](#), and [Economic Times](#))



DEEP DIVE: JODO HAS FOCUSED AND BUILT FOR THE UNDERSERVED SCHOOL ECOSYSTEM

Vertical playbook

Target a niche segment of schools, educational institutes becoming digitally savvy

Use **fee collection** software & payments infra. **as a high frequency wedge** for schools & expand to parents

Scale by adding products & solutions **to the same core segment** (instant reconciliation, reports for schools, financing)

...Led by strong entry product

Billing & fee management for schools

Fee payment for parents

Reconciliation of payments

BEFORE

Complex – multiple grades, streams, courses, discounts, scholarships, late fees

High cash flow burden on parents due to one-time annual fee payment

Manual computation / reconciliation – multiple NEFT payments across fees, vendors becomes hard to reconcile

WITH

Simplified – components to handle different fee payment plans easily, ability to define custom logics

Payments in multiple installments via recurring payments using eNACH; **no cost loans** for parents

Virtual accounts & custom payment pages for ease of reconciliation with reporting & analytics for institute

Streams	Grade	Academic Year	Admission
CBSE	Grade 1	2023-2024	☒ Existing Admission
CBSE	Grade 10	2023-2024	☒ New Admission
CBSE	Grade 11	2023-2024	☒ New Admission
CBSE	Grade 12	2023-2024	☒ New Admission
CBSE	Grade 2	2023-2024	☒ New Admission
CBSE	Grade 3	2023-2024	☒ New Admission
CBSE	Grade 4	2023-2024	☒ New Admission
CBSE	Grade 5	2023-2024	☒ New Admission
CBSE	Grade 6	2023-2024	☒ New Admission
CBSE	Grade 7	2023-2024	☒ New Admission
CBSE	Grade 8	2023-2024	☒ New Admission

Simplified fee management system

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CBSE	Grade 8	2023-2024	☒ New Admission

Convenient payment options

Stream	Grade	Academic Year	Admission
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Reporting & analytics improves collections



GOING FORWARD, >10 SEGMENTS SHOW POTENTIAL TO EACH HAVE >\$1BN ADDRESSABLE REVENUE POOLS



XX # of customers / entities

Teenagers¹

~200mn

Blue-collar
Workers

~450mn

Small-fleet
Logistics Operators

>1mn

Double Income Affluent
Households

~1.7mn

NRIs / PIOs

~32mn

Private
Schools

~325,000

Seniors
(60+ years)

~150mn

Tech
Workforce

~5mn

Self-employed Professionals
(e.g., CAs, Lawyers,
Architects etc.)

~2mn

International
Travelers

~16mn

Exporters & Importers

>500,000

Doctors and Small Clinics
(<20 beds)

>1mn

Indian Students
Studying Abroad

~1.3mn

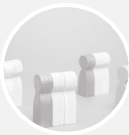
1. Individual withing age group 13- 19 years

Source: UNICEF; National Health Mission; MEA; Ministry of Tourism; UNFPA – India Ageing Report; ICAI; press research ([ezySchooling](#), [Financial Express](#), and [Economic Times](#).)



10 KEY THEMES WILL SHAPE THE FUTURE OF FINTECH VALUE CREATION

Under-served **end users**...

1  Rise of vertical specialists: from product-led to segment-led

2  The power law: **affluent India** will drive significant value creation

3  Driving access to credit for the next 200mn Indians

4  Unlocking India's 'protection and wealth' gap

...served contextually...

5  Embedding contextual financial services in consumer platforms

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...by Fintech X BFSI partnerships

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2. THE POWER LAW: AFFLUENT+ INDIA WILL DRIVE SIGNIFICANT VALUE CREATION

2A

India's **most affluent (~1% of the population)** drives **disproportionate spend** – 50–60% of all retail investable assets, 50–60% of online spends

2B

India's affluent+ customers have **nuanced needs** – with **growing discretionary incomes**, they have **high aspirations** and an **appreciation for quality experiences**

2C

Due to the large opportunity presented by the segment (additional **annual revenue unlock of \$80–100bn** by 2030), it is **core to the strategy of several FS players**, thereby increasing competition for fintechs

2D

Fintechs have built (and will continue to build) plays to address this segment in 2 ways:

- **Creating delightful digital-first experiences**
- **Democratizing access** to financial products and services typically reserved for the ultra-rich

2E

Winning this segment requires **building an aspirational brand, superior customer engagement and differentiated channels of acquisition**

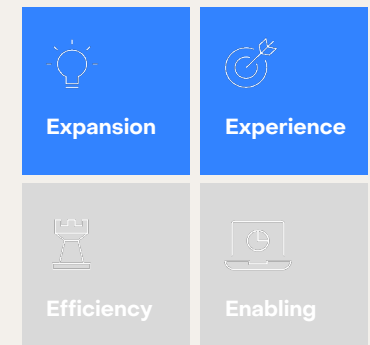
2F

Multiple sharp wedges exist across payments, credit, wealth and insurance that hold potential for new affluent+ platforms to emerge

\$80–100bn
annual revenue
pool by FY30

>30mn
affluent customers
by FY30

Theme Key Drivers

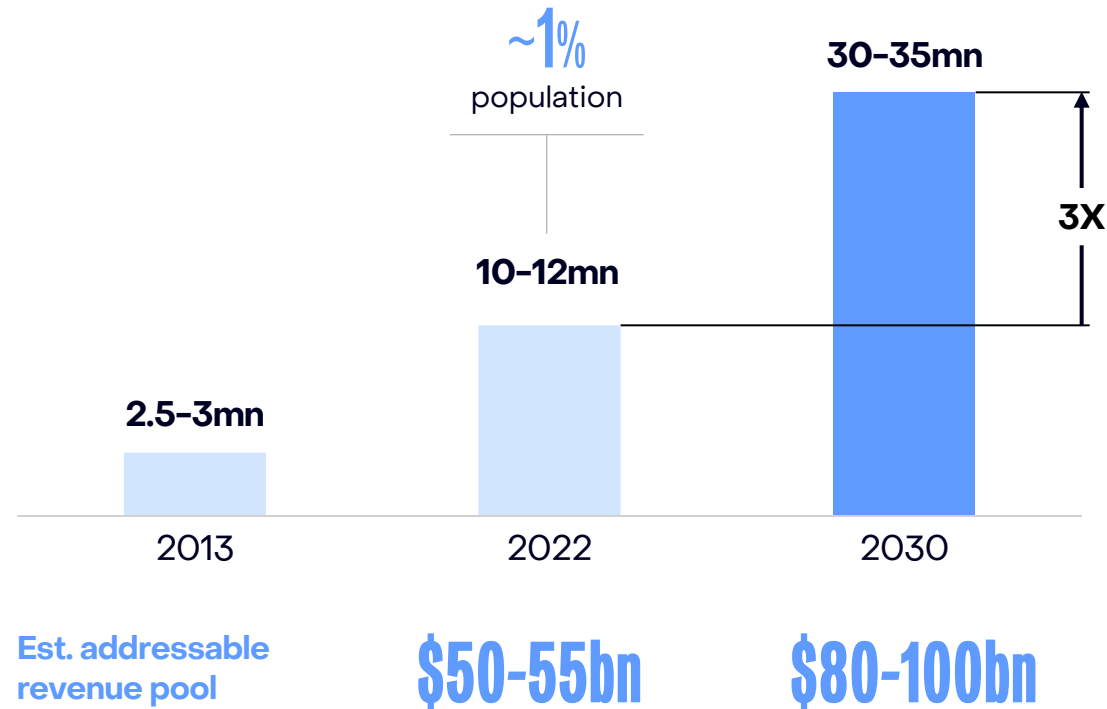




INDIA'S AFFLUENT+ SEGMENT IS GROWING FAST...

Affluent+ population in India

>\$15K annual income



..AND DRIVES DISPROPORTIONATE FINANCIAL & COMMERCE SPEND



~70%

of retail deposits



~30%

of retail lending assets



~55%

of retail investable assets



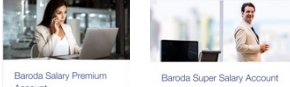
~50-60%

of online spends



THE MAJORITY OF INCUMBENTS + FINTECHS FOCUS ON THIS SEGMENT

Incumbent players' offerings

	Premium Credit Cards	Premium Savings Accounts
 We understand your world	 Infinia	 Imperia Preferred
	 Reserve	 Prestige Digital Savings Account Priority Digital Savings Account Burgundy Digital Savings Account
	 First wealth	
	 Eterna	 Baroda Salary Premium Account Baroda Super Salary Account
	 Elite	 State Bank Premium
	 Legend	 PIONEER the best art of wealth management
	 Emeralde	 PRIVILEGE BANKING

Fintechs with affluent+ as their core strategy

Not exhaustive

>30

Sizeable fintech players

Across cards, alternative investments, wealth advisory

uni one card

CRED

scapia

JIRA AF Strata

DEZERV

IND money

AFFLUENT+ CUSTOMERS HAVE NUANCED NEEDS...



...growing
discretionary income



...an **appreciation**
for better experiences



...strong
aspirations

40%

plan to **travel**¹

80%

are **willing to pay** for
features such as
better advice

39%

accumulate savings for
lifestyle changes (e.g.,
upgrading home)

60%

spend more time
looking after
personal health

28%

value the **prestige of**
using services reserved
for special clients

...AND REMAIN UNDER-SERVED TODAY

65% concerned about the **digital experience** in their primary bank²

57% want more **personalized products**³

44% not satisfied with the **quality of advisory services**⁴

1. In FY24

2. What are the reasons for switching primary bank account?

3. To what degree would you like to receive more, or less, of the following services?

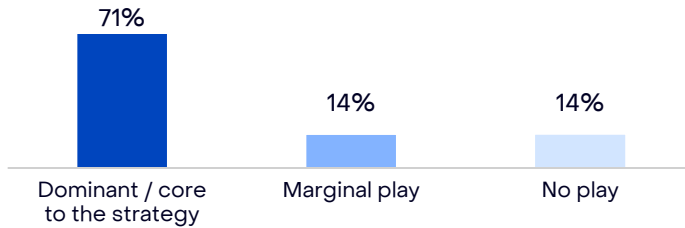
4. How satisfied are you with the quality of financial advice you receive in bank?

Source: Standard Chartered Wealth Expectancy Report, 2022

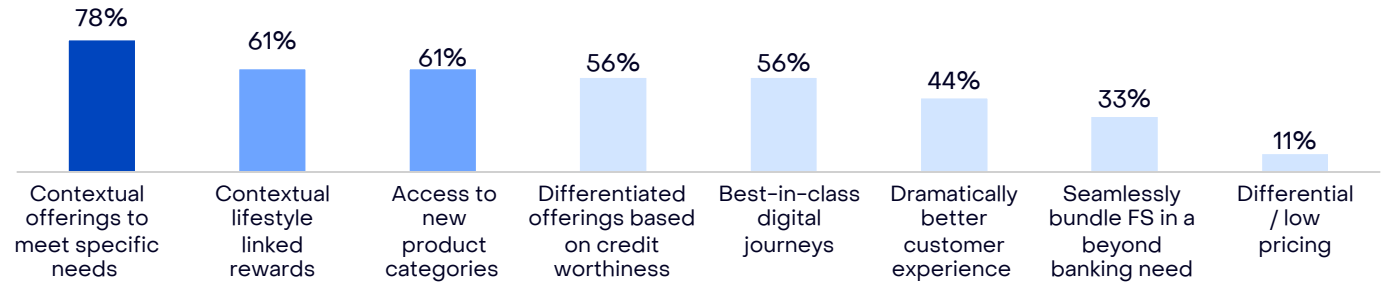


THIS SEGMENT IS CORE TO THE STRATEGY OF FS PLAYERS AS WELL AS SEVERAL FINTECHS

% of respondents that consider Affluent+ to be core to their strategy¹



% of respondents that plan to offer below experiences to play in this segment



Contextual offering is key

“ Fintechs must offer a sharp, contextual value proposition to gain an advantage in product and distribution, as competition increases among players to serve the emerging affluent customer segment.

– Co-founder, Uni

Affluent class is underserved

“ There is a huge opportunity for fintechs to provide active wealth management support to India's new wealthy, who are currently underserved by banks who are naturally focused on deposits and lending.

– Founder, Dezerv

High LTV / CAC ratio

“ The affluent segment has a high customer lifetime value. Despite the higher acquisition cost, the LTV/CAC ratio is still favorable compared to other segments.

– Business Head, Indian Private Sector Bank

Premium offers and services

“ Banks are increasingly looking to target the affluent segment by bundling premium offers and services (such as concierge, medical assist) with the core product. For products like deposits and credit cards where the level of differentiation is low, having the right offers can make you stand out.

– Business Head, Foreign Bank

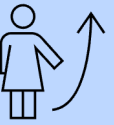
1. What will be your posture to participate in serving the affluent segment in next 24 months? (select one); n=21

2. How do you plan to increase market share/play in the affluent customer segment? (select all that apply); n=18

Source: Fintech Survey 2023



FINTECHS HAVE SERVED THIS SEGMENT THROUGH 2 BROAD PLAYS

Delighting affluent+ customers through..	Illustrative players	Enter the lives of customers through sharp wedge products...	...and then create multiple cross-sell opportunities ¹
 10X superior E2E experience	 CRED >16mn users	• Simplified process of paying credit card bills, and getting rewards	• Rent payments • Personal loans • E-commerce • Investment products
	one card ~1.5mn users	• Co-branded metal credit card with cutting-edge UI-UX, better transaction controls and never expiring reward points	• Personal loans • BNPL • Rent payments
 Expansion of access to new products	DEZERV \$400mn+ AUM	• Curated investment portfolios	• Alternative assets • Secured credit
	Strata \$150mn+ AUM	• Fractional commercial real estate investing	• Asset management services • Secured credit • Alternative assets

1. Potential opportunities, not all live

Source: Company interviews with Dezerv and Strata; press research ([Economic Times](#); [Economic Times](#))



HOWEVER, CAPTURING VALUE FOR THIS SEGMENT IS NOT EASY (CRED DEEP-DIVE)

Key capabilities critical to win



Creating differentiated modes to acquire **high-value** customers



Customer retention through **deep engagement**



Building an **aspirational brand**



Building **trust to enable cross sell**



CRED

- **Narrative around exclusive elite club** with scarcity baked in – product gated to users only having a card & being above a certain credit score
- Entry into the club was matched with **high rewards**
- **Rewards, personalization and gamification**
- **High spend on marketing:** >\$150mn from FY20 to FY22
- Intentional **shock value marketing**
- **Nostalgia themed ads** designed to serve 30–40-year-old audience
- Focus on top of mind recall & word of mouth
- **Surface hidden charges**, revolve interest, international fees accruing to user
- **Anti-establishment positioning** & focused on the user
- Trust solves efficiency and conversion of cross sell



HOWEVER, CAPTURING VALUE FOR THIS SEGMENT IS NOT EASY (ONECARD DEEP-DIVE)

Key capabilities critical to win

one
card

- **Spam-free credit score check** – ~2mn OneScore users within 1 year of launch
- **Scarcity mechanic** – gamified waitlist via spin the wheel, use referrals to move up
- **Attractive offers** – 5x reward points on top 2 spend categories



Creating differentiated modes to acquire high-value customers



Customer retention through deep engagement



Building an aspirational brand



Building trust to enable cross sell

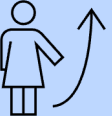
- **Presence of offers at key distribution points** (e.g., online checkouts) offering high frequency rewards
- **Superior customer experience & service:** Full stack approach helps offer superior customer service (e.g. chargeback requests, EMI conversion on app)

- Premium metal card product making **user feel better about themselves** and hence driving more usage
- **Metal card very visible in group settings** – driving aspirational status & arousing curiosity in others around weight, sound of card

- Insights on credit score improvement + **no spam** in OneScore product
- **Transparency of rewards** in OneCard



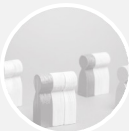
OPPORTUNITIES EXIST ACROSS VERTICALS TO UNLOCK VALUE

	Payments	Credit	Wealth	Insurance
 10X superior E2E experience	Personalized credit card rewards	Multi-collateral loans (securities, gold, property) Paperless secured loans	Gen AI powered RM interactions Gamified investment support	Care management, especially for high-risk patients Hyper-personalized advisory
 Expansion of access to new products	Cross-border retail payments Offline UPI payments	Dynamic line of credit across multiple facilities Household-level credit lines	Fractional investing across classes Retirement, estate and citizenship planning Private assets (e.g., art, vintage cars) Gold bullion trading	Private placement life insurance Comprehensive health insurance OPD and dental insurance in closed ecosystems Usage-based insurance



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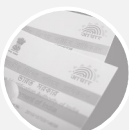
...served contextually...

-  **Embedding contextual financial services** in consumer platforms
-  **Rise of open networks:** unlocking the next wave of embedded finance
-  Mining the hidden value in the **large and rapidly digitizing supply chains**

...by Fintech X BFSI partnerships

-  **Fintech SaaS** enabling incumbents to deliver next-gen services
-  **Collaborate vs. Compete:** deep incumbent & attacker partnerships

Catalyzed by Digital Public Infrastructure

-  **Digital Public infrastructure (DPI)** to continue disrupting all 4Es



3. DRIVING ACCESS TO CREDIT FOR THE NEXT 200MN INDIANS

3A

Of the **overall lendable base of >300mn customers in India, formal credit has only been extended to ~120mn customers to date**, presenting a significant opportunity to target the next ~200mn

3B

These customers generally work with smaller companies or have small-scale businesses, with **limited documentation as proof of their employment and/or income**

3C

Underpenetration of credit for this segment has been primarily driven by:

- Information asymmetry in understanding customers' risk profiles
- Higher costs to serve these customers

3D

Now, **several shifts in consumer behavior and technology** are solving these challenges:

- **Increasing digital access** along with **growing trust** in these channels
- **Improved efficiency** resulting from growing **digital footprints** and **penetration of DPI**

3E

Several fintechs have started leveraging these shifts and serving this segment through **digital and assisted models** and have achieved significant scale

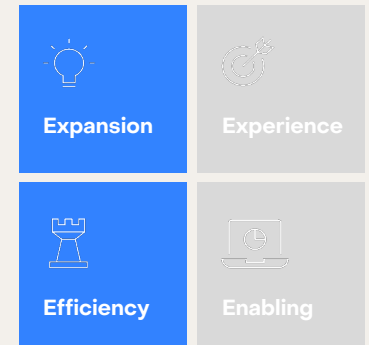
3F

It is estimated additional **annual revenues of \$25-30bn can be unlocked over the next 5 years** by enabling credit for the next 200mn Indians

\$25-30bn
annual revenue
by FY30

~ 200mn
Customers base
by FY30

Theme Key Drivers

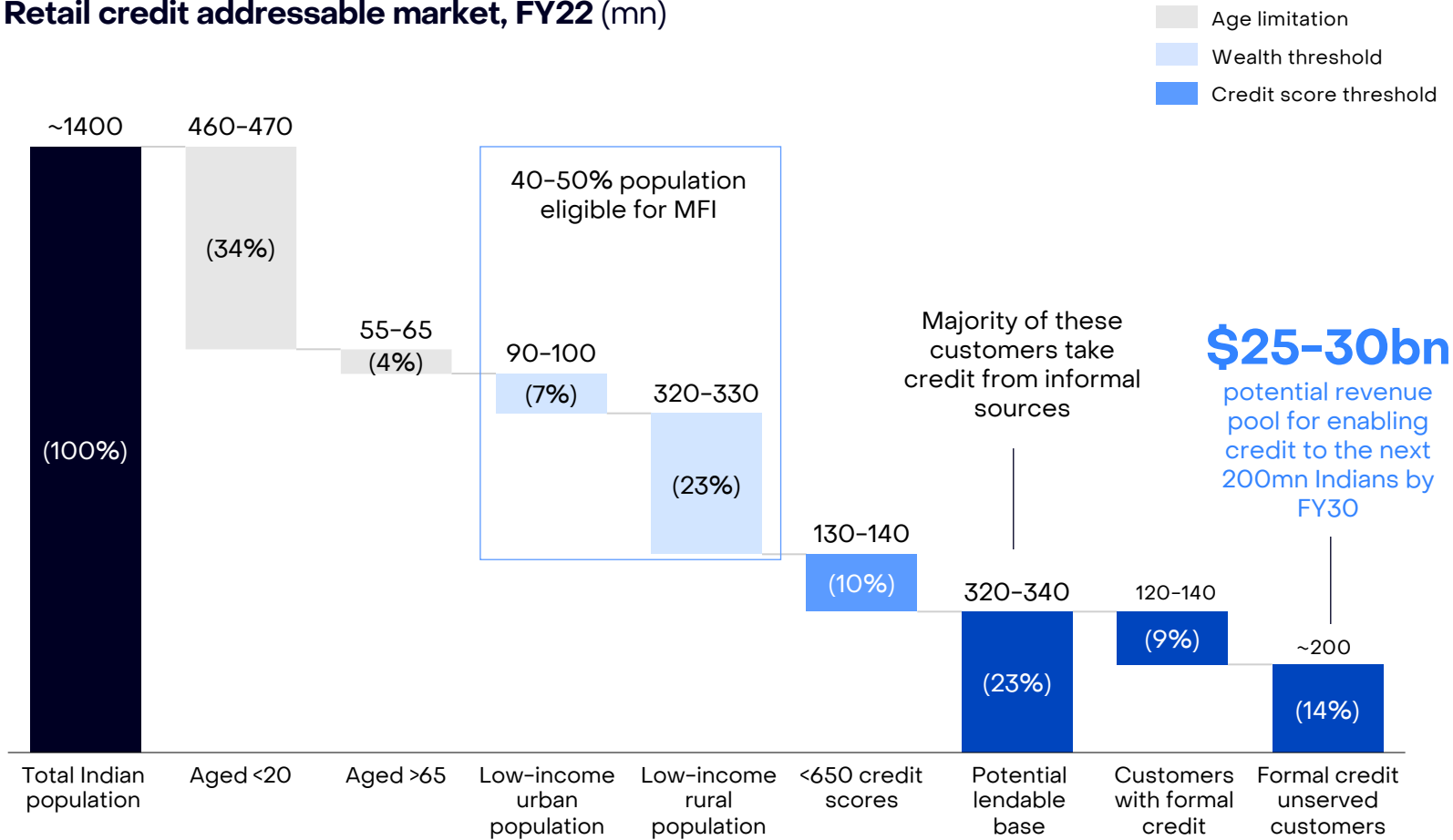




OF INDIA'S LENDABLE BASE OF >300MN, ONLY ~120MN HAVE LOANS FROM THE FORMAL SECTOR TODAY

MAPPING A BILLION: Understanding The Indian Fintech User

Retail credit addressable market, FY22 (mn)



No. of active loans (mn)

	Credit Cards	71
	Personal Loans	58
	Consumer Durable	41
	Two-Wheeler	22
	Business Loans	21
Total Base (ex-MFI; assume 30-40% multi-product overlap)		120-140

1. Assumed average number of cards per customer to be 1.8 (based on expert inputs)
Source: ONDC Report (Democratizing Digital Commerce in India); Ambit



TRADITIONAL LENDERS FACE SEVERAL CHALLENGES SERVING THESE CUSTOMERS

Typical underserved customer



Lower affluence:

Earns income between \$1000 to \$6000 p.a.



Non-traditional income source: Employed in **cat-C, cat-D** or beyond companies, *or* runs a **small-scale business**



High share of cash income



Geographically dispersed, lives in tier-3 and beyond cities



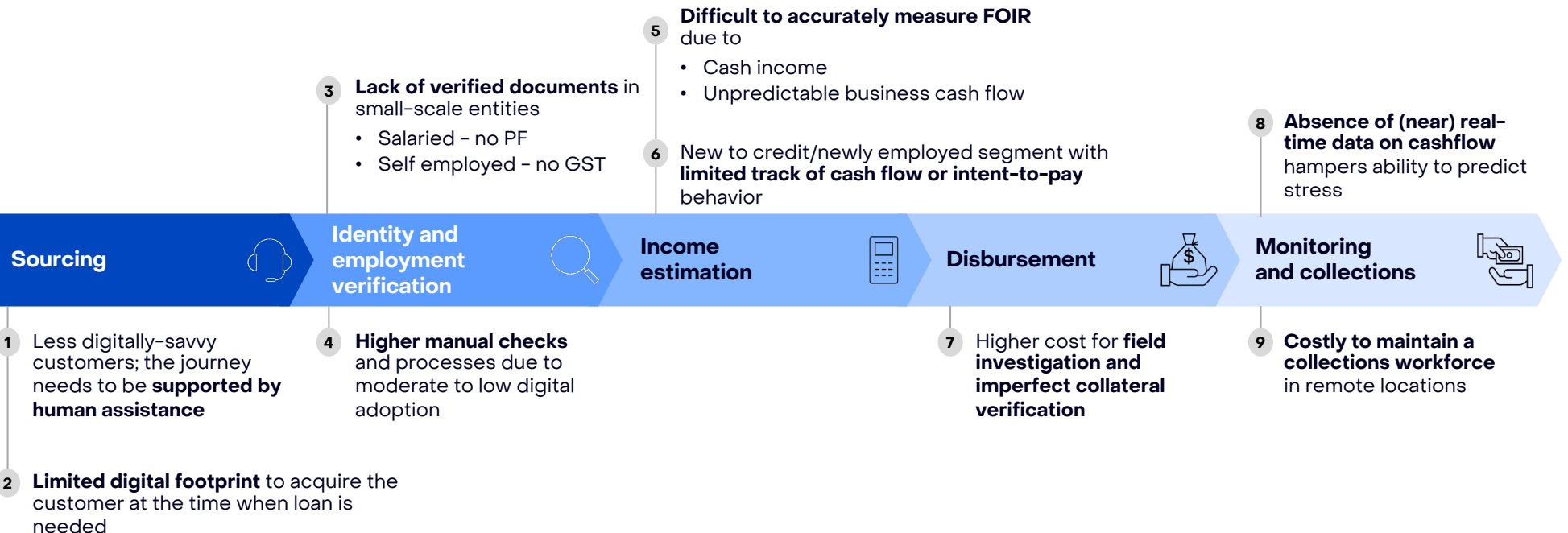
Low formal credit history

Challenges in serving this customer

Information
asymmetry in
credit
assessment

Value chain

**High cost to
serve**





4 KEY SHIFTS ARE CREATING THE NEXT WAVE OF EXPANSION AND EFFICIENCY

Key drivers

Key Shifts

Facts

Expansion

Access is digitizing

with rising smartphone penetration

Growing trust

in digital as digital consumption increases

~2x growth of smartphone users in rural India between 2018-22

Increased digital footprint enabling lenders to target at the right time of intent

~4x growth in online searches for 'digital/personal loan' between 2018-23

Awareness programs about prevention and remediation of online fraud

Efficiency

Shift from cash to digital to create a **'thick' bank statement**

Rising penetration of DPLs reducing cost of loan delivery

Increasing digital payments: ~60% of UPI volume from rural and semi urban areas¹

Higher **comfort of customers to access bank accounts digitally** (e.g., bank statements)

Higher verification rate and less journey friction due to solutions such as Digital ID, AA etc.

Reduced need for physical presence due to solutions like e-KYC and e-NACH

1. For 2022

Source: ASER 2022 report; Internet in India, 2022 – report by IAMAI & KANTAR; SBI Research ECOWRAP report – Issue No. 06, FY23; Google trends



FINTECHS ARE BEGINNING TO LEVERAGE THESE SHIFTS INNOVATIVELY

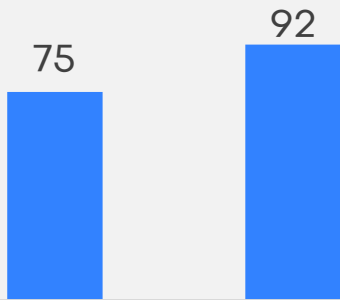
Consumer persona	Illustrative players	Key innovation	Scale	Users
Digitally savvy behavior	 KreditBee	Offer microloans to help build credit history and use repayment behaviour to increase loan size	~\$3.6bn disbursed	>7mn loan customers
	 fibe	Build key proprietary assets across underwriting and collections – ML models, GPS data etc.	~\$1.8bn disbursed	>2mn loan customers
Need assistance with digital journey	 sarvagaram	Underwrite customers at a household income level instead of individual income	~\$60mn AUM	>45,000 loan customers
	 Refyne	Offer earned wage access to customers mid-month through HRMS integrations with employers	300+ employers	>6mn users



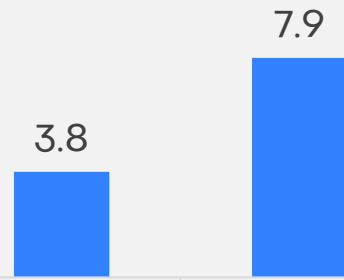
DEEP DIVE: **Paytm** HAS BEEN ABLE TO LEVERAGE THESE SHIFTS TO MEANINGFULLY SERVE THIS AUDIENCE

Meaningful Impact...

Retail MTU (mn)



Subscribing merchants (mn)



\$1.8bn

*Value of loans
disbursed in Q1FY24*

12.8bn

*Loans disbursed
in Q1FY24*

Paytm acts as a loan service provider and helps banks and NBFCs to reach out to its users. Paytm doesn't lend or take any risk on its balance sheet. All loans are sourced for its partner as per their risk and commercial policies.

...Driven by key differentiators

Product simplicity

- **Clearly defined products** – defined boundaries for each user segments

Large digital distribution base

- Penetration of personal loans is at 1.1% of MTU and merchant loans at 6.2% – **significant headroom to grow**

Proprietary Data

- Native payments data provides **“thick” bank statement** for lenders to underwrite Paytm users and merchants
- **Match lending partners to cohort of borrowers** specifically matching each lender's risk appetite.

Collection support with aligned incentives

- **In-house collection capabilities** and tech. platform
- 0.5–0.75% of disbursals as **collection incentive** for Paytm



INCUMBENTS + FINTECHS ARE INNOVATING ACROSS THE VALUE CHAIN AND THESE WILL DRIVE NEXT WAVE OF VALUE CREATION

Emerging themes for driving differentiation

Theme 1: Leverage transaction data for credit assessment and early warning signals

“ This segment possesses a wealth of digital data across different online platforms but continues to remain credit poor and underserved due to their inability to share traditional income/employment verification documents.

– Co-founder, Lending Tech Startup

Theme 2: Holistic household level income assessment

“ In rural households, family members are employed in different work settings with different income streams. Underwriting a household, instead of an individual, helps us to de-risk.

– Co-founder, Sarvagam

Theme 3: Personalize through multi-lingual, multi-channel means

“ Using multiple communication channels and personalized vernacular language has built trust with customers, leading to improved response rates and effective communication.

– Lending Head, Private Sector Bank

Theme 4: Gradual engagement to cross-sell and up-sell

“ The growing digital footprint of this customer segment allows us to offer our products at the right time and place, starting with sachetized products and gradually enhancing our offerings to meet their long-term credit needs.

– Digital Lending Head, Large Private Sector Bank

Theme 5: Drive lower cost to serve through India Stack and other digital enablers

“ With emergence of different set of DPIs, we can undertake different verifications digitally. This is allowing us to target this segment at low cost, which was not possible till few years back.

– Co-founder, Uni

Theme 6: Complement digital with assisted based journeys

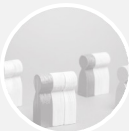
“ While this segment has started applying for loans digitally, end-to-end digital journeys may not be 100% effective. It is essential to build assisted capabilities to promptly address customers' inquiries.

– Lending Head, Private Sector Bank



10 KEY THEMES WILL SHAPE THE FUTURE OF FINTECH VALUE CREATION

Under-served **end users**...

-  **Rise of vertical specialists:** from product-led to segment-led
-  The power law: **affluent India** will drive significant value creation
-  **Driving access to credit** for the next 200mn Indians
-  **Unlocking India's 'protection and wealth' gap**

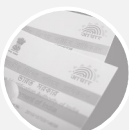
...served contextually...

-  **Embedding contextual financial services** in consumer platforms
-  **Rise of open networks:** unlocking the next wave of embedded finance
-  Mining the hidden value in the **large and rapidly digitizing supply chains**

...by Fintech X BFSI partnerships

-  **Fintech SaaS** enabling incumbents to deliver next-gen services
-  **Collaborate vs. Compete:** deep incumbent & attacker partnerships

Catalyzed by Digital Public Infrastructure

-  **Digital Public infrastructure (DPI)** to continue disrupting all 4Es



4. UNLOCKING INDIA'S 'PROTECTION AND WEALTH' GAP

4A

While the rise of DPI in India has led to increasing penetration in payment and credit products, **penetration of protection and wealth products**, which are more difficult to sell, **remains low**

4B

This is **significantly low in India's missing middle** (income between \$3,000-15,000 p.a.) compared to the affluent segment

4C

For the past few years, **regulators** and **incumbents have been addressing several core drivers** of low penetration and have achieved some success (Wave 0)

However, a **few challenges remain** across:

4D

- Awareness and trust
- Product fit and affordability
- Ease, simplicity and transparency
- Contextual and consultative selling

4E

Several **wealthtechs** and **insurtechs** are taking up these challenges and have started **solving for product simplicity** and **affordability in tech-led ways** (Wave 1)

4F

The next set of unlocks would be around product personalization (Wave 2)

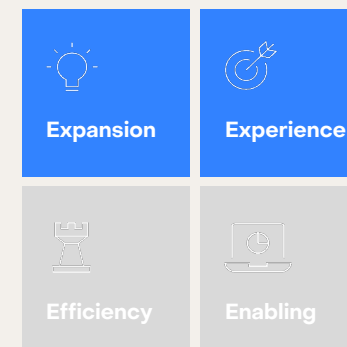
4G

It is estimated that increased protection and wealth penetration in the 'missing middle' can potentially **unlock additional annual revenue of \$30-40bn by 2030**

\$30-40bn
annual revenue
by FY30

250-300mn
Customers base
by FY30

Theme Key Drivers





INDIA'S 'MISSING MIDDLE' HAS A PROTECTION AND WEALTH GAP

MAPPING A BILLION: Understanding The Indian Fintech User

Segmentation
based on annual
individual income, \$

Individuals,
FY22, mn

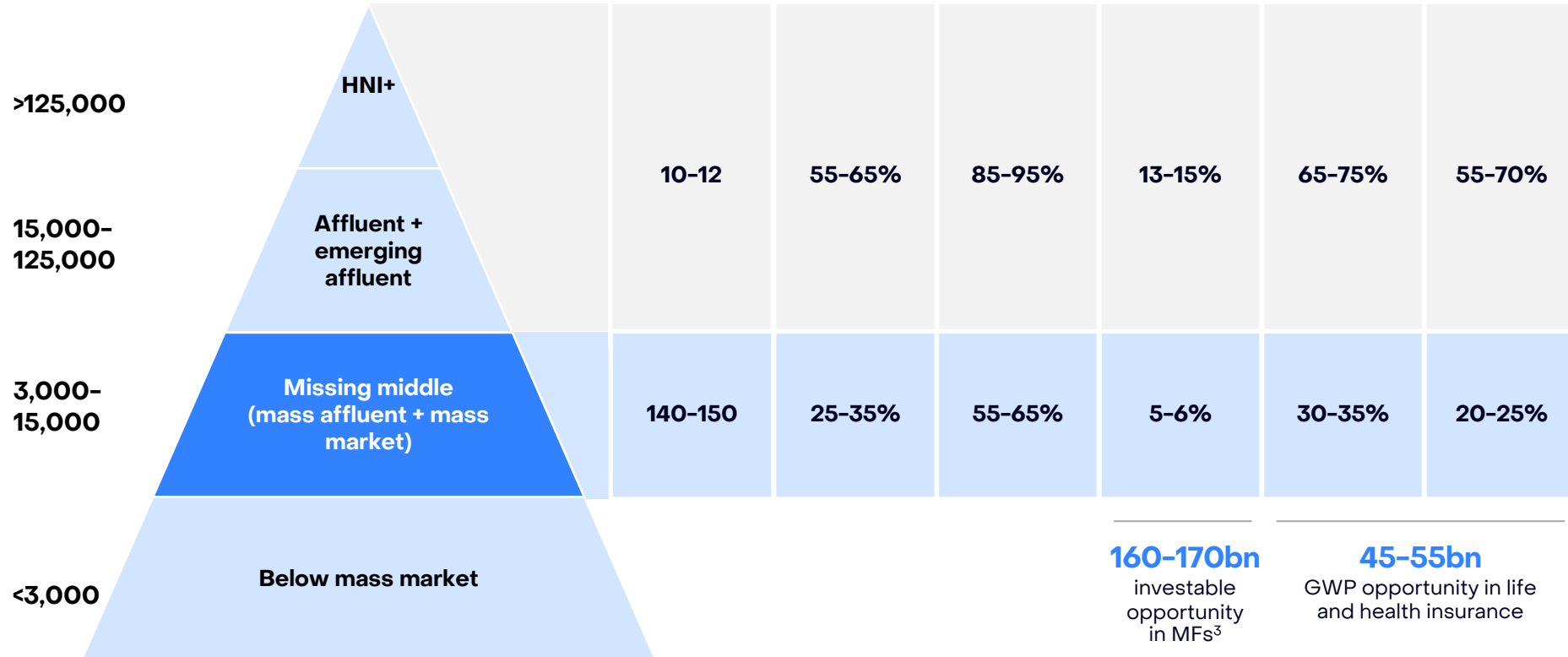
Lending
penetration
as % of
population

% payments
penetration
as % of
population

Mutual Funds
as % of
financial
assets

LI¹
penetration,
% population
with LI

PHI²
penetration,
% population
with PHI



While **'pull' products** (e.g., payments, credit) have seen rising penetration in this segment in recent years...

... **'push' products** (e.g., investments, insurance) have demonstrated slower uptake

1. LI: Life insurance; 2 PHI: Private health insurance, 3. If the penetration catches up to the affluent and above segments
Source: IRDAI; AMFI



THE INDUSTRY HAS BEEN IMPLEMENTING SEVERAL INITIATIVES TO UNLOCK THE POTENTIAL OF THE MISSING MIDDLE (WAVE 1)

Not exhaustive

Awareness & trust 	Product fit & affordability 	Ease, simplicity & transparency 	Contextual & consultative selling 
Investing in mass awareness and trust-building campaigns	Tailoring products to granular customer needs and offering higher flexibility	Creating easy-to-use, low-friction products that are easy to sign up on	Integrating at point of sale (e.g., motor, health, loan distribution)
 'Mutual Funds Sahi Hai' campaign	 Sachet insurance products (e.g., malaria) to drive affordability	 Invest in MFs of different AMC's through the same platform	 
 'Insurance for all' vision to cover every citizen by 2047	 'Lock the clock' policy that locks premium until the 1st claim	 No network hospital restriction for cashless payments	Creating large advisory-led distribution teams (across direct and agent-led)
 Online customer grievance tracking and transfer to insurers	 Mandated commission-free direct MF schemes	 Expense estimator to estimate accurate medical costs	    



HOWEVER, SEVERAL CHALLENGES REMAIN

Awareness & trust



~52% customers are not aware of investment options

~43% customers don't trust their money with someone else

Trust takes time

“ People don't trust others with their money and trust doesn't change overnight. There is lethargy in customers to change their investments.

– Founder, Jupiter

Product fit & affordability



~37% customers find premiums to be more expensive than medical care spends

~22% customers can't afford health insurance premiums

Finding the right product is a struggle

“ India's affluent have the investable surplus but struggle to find right discretionary management solutions which are aligned to their needs and value systems.

– Founder, Dezerv

Ease, simplicity & transparency



~41% don't understand health insurance products and what they cover

~42% customers find the mutual fund investment process to be complicated

Complexity increases cost of delivery

“ Customers seek improved experiences and services, but the cost of delivery is high. As product complexity increases, so does the need for servicing.

– Co-founder, Uni

Contextual & consultative selling



Misaligned incentives

“ There is low trust in the industry because on several occasions the incentives of the wealth managers are not fully aligned to the investors interests.

– Founder, Dezerv

Contextualization is key

“ Contextual, PoS, and in-the-moment offerings help you introduce the brand, acquire data and sell the right products

– Founder, Insurtech Startup



STAKEHOLDERS ARE COMING TOGETHER TO DRIVE HIGHER ADOPTION OF PROTECTION AND WEALTH PRODUCTS

Illustrative actions

REGULATOR



Making **innovation** easier



Pushing on **transparency**

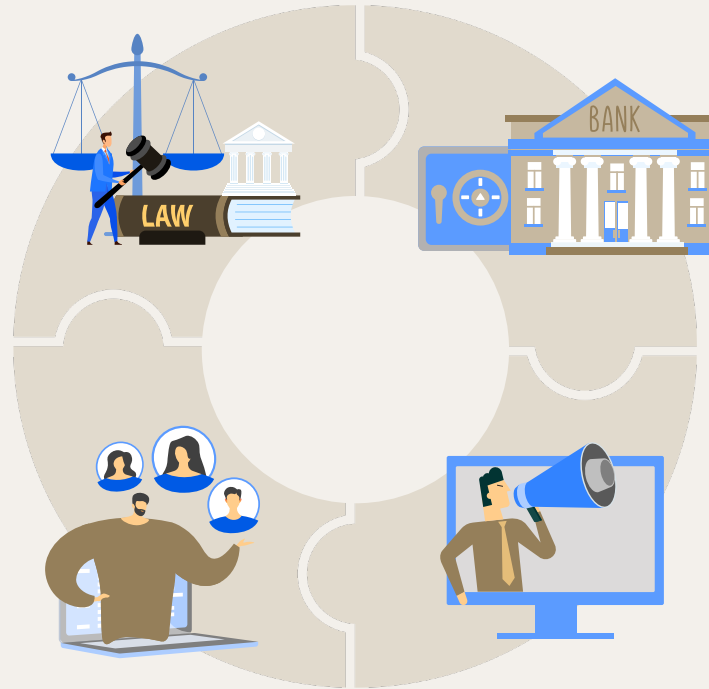
END-USER



Higher **product** awareness



Higher **intent** to search and **purchase products digitally**



MANUFACTURERS



Increased use of digital data to **tailor and customize products**



Making products affordable with innovation

SELLERS AND AGENTS



Setting up **digital marketplaces** for e2e digital sales



Digital journeys **supported by sales assistance**



WHILE WAVE 1 IS INNOVATING FOR PRODUCT SIMPLICITY AND AFFORDABILITY; WAVE 2 HOLDS THE PROMISE OF PERSONALIZATION

Wave 1

Current landscape

Product fit and affordability



Bring innovative products to masses



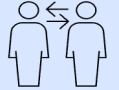
Ease, simplicity & transparency



Create marketplaces to simplify and drive radical transparency



Contextual and consultative selling



Integrate at point of sale in digital-first ecosystems



Wave 2

Our view, looking ahead

Fractionalization of wealth offerings e.g., stock SIPs, real estate

Contextualized bite-sized insurance products

Transparent, win-win fee structures

Integrated E2E platforms for insurance journeys incl. purchase, claims, servicing

Gen AI powered virtual assistants

Goal-based hyper personalized selling

10 KEY THEMES THAT WILL SHAPE THE FUTURE OF FINTECH VALUE CREATION

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- 10  **Digital Public infrastructure (DPI)** to continue disrupting all 4Es

...served contextually...

- 5  **Embedding contextual financial services** in consumer platforms
- 6  **Rise of open networks:** unlocking the next wave of embedded finance
- 7  Mining the hidden value in the **large and rapidly digitizing supply chains**

Coming soon...

...by Fintech x BFSI partnerships

- 8  **Fintech SaaS** enabling incumbents to deliver next-gen services
- 9  **Collaborate vs. Compete:** deep incumbent & attacker partnerships



ABOUT ELEVATION CAPITAL

Elevation Is India's Leading Venture Fund With A >20 Year History Of Investing

Elevation Capital is an India-focused venture capital firm with over \$2bn capital deployed in 150+ companies. We have been investing in India since 2002, and our portfolio includes companies such as Paytm, MakeMyTrip, Swiggy, Meesho, Urban Company, Unacademy, Sharechat and NoBroker.

>\$500Mn Invested In Fintech And Financial Services

We focus deeply on fintech and financial services, and are proud partners to 25+ category defining companies across payments, lending, wealth, insurance and fintech SaaS. We follow a thesis-first approach, and comprise a 12-member team investing across the seed, growth and post-IPO stage.

Reach out to us at fintech@elevationcapital.com





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- OfBusiness – Asish Mohapatra
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